

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY FINANCIAL
STATEMENTS AND INDEPENDENT AUDITORS’
REPORT
DECEMBER 31, 2025 AND 2024

For the convenience of readers and for information purpose only, the auditors’ report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors’ report and financial statements shall prevail.

INDEPENDENT AUDITORS' REPORT TRANSLATED FROM CHINESE

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Opinion

We have audited the accompanying parent company only balance sheets of JOCHU TECHNOLOGY CO., LTD. (the "Company") as at December 31, 2025 and 2024, and the related parent company only statements of comprehensive income, of changes in equity and of cash flows for the years then ended, and notes to the parent company only financial statements, including a summary of material accounting policies.

In our opinion, based on our audits and the reports of other auditors (please refer to the Other matter section), the accompanying parent company only financial statements present fairly, in all material respects, the parent company only financial position of the Company as at December 31, 2025 and 2024, and its parent company only financial performance and its parent company only cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission.

Basis for opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the parent company only financial statements* section of our report. We are independent of the Company in accordance with the Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company's 2025 parent company only financial statements. These matters were addressed in the context of our audit of the parent company only financial statements as a whole and, in forming our opinion thereon, we do not provide a separate opinion on these matters.

Key audit matters for the Company's 2025 parent company only financial statements are stated as follows:

Key audit matter – Existence of sales to specific customers

Description

Refer to the parent company only financial statements Notes 4(28) for the accounting policy on revenue recognition and Notes 6(21) for details of revenue recognition.

There is a significant audit risk associated with revenue recognition in accordance with the auditing standards. The Company's sales revenue is highly concentrated among the top ten customers. As revenue from newly ranked top ten customers is considered material to the consolidated financial statements, we have identified the existence of revenue from these newly ranked top ten customers as a key audit matter.

How our audit addressed the matter

We performed the following audit procedures on the above key audit matter:

1. Understood the internal control system and the control procedures over sales performed by management, and selected sales transactions from newly ranked top ten customers as a sample for testing.
2. Obtained credit evaluation information for newly ranked top ten customers and verified it against supporting documentation.
3. Tested the credit approval procedures applied to newly ranked top ten customers.
4. Obtained detailed sales records of newly ranked top ten customers and selected samples to verify the underlying documentation.
5. Selected samples of accounts receivable confirmations for newly ranked top ten customers.

Key audit matter – Impairment assessment of premium on investments accounted for under equity method

Description

Refer to the parent company only financial statements Notes 4(17) for accounting policy on impairment assessment of investments accounted for under equity method, Notes 6(6) for details of impairment assessment of investments accounted for under equity method, and Note 5(2) for uncertainty of accounting estimates and assumptions in relation to impairment assessment of investments accounted for under equity method.

As of December 31, 2025, the investments of eBio International Co., Ltd is material and there is a premium arising from goodwill. The future cash flows projections of the expected recoverable amount was calculated based on management's estimation and expectation of the future operations, which involve management's subjective judgement and significant estimation, and the result is significant to the financial statements. Thus, we consider impairment assessment of investments accounted for using equity method a key audit matter.

How our audit addressed the matter

We performed the following audit procedures relative to the above key audit matter:

1. Assessed whether the valuation models adopted by the Company are reasonable for the industry, environment and the valued assets of the Company;
2. Confirmed whether the expected future cash flows adopted in the valuation model are in agreement with the budget provided by the cash-generating units;
3. Evaluated the competence and objectivity of the external valuation experts engaged by management, and assessed the reasonableness of key assumptions in the valuation models, including projected growth rates, operating profit margins, and discount rates, through the following procedures:
 - (1) Reviewed the valuation methods and calculation formulas used by the external experts.
 - (2) Compared the projected growth rates and operating profit margins with historical results.
 - (3) Compared the discount rates used with the rates of return of similar assets in the market.
4. Compared the recoverable value and book value of each cash-generating unit in order to assess the reasonableness of the book value.

Other matter – Reference to the audit of other auditors

We did not audit the financial statements of an investment accounted for under the equity method which were audited by other auditors. Therefore, our opinion expressed herein, insofar as it relates to the amounts included in respect of this associate, is based solely on the report of the other auditors. The balance of this investment accounted for under the equity method amounted to NT46,044 thousand and NT\$22,791 thousand, constituting 1.36% and 0.68% of total assets as at December 31, 2025 and 2024, respectively, and the comprehensive income recognized from the associate accounted for under the equity method amounted to (NT\$4,878) thousand and (NT\$19,818) thousand, constituting 1.80% and 199.48% of the total comprehensive income for the year then ended, respectively.

Responsibilities of management and those charged with governance for the parent company only financial statements

Management is responsible for the preparation and fair presentation of the parent company only financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission, and for such internal control as management determines is necessary to enable the preparation of parent company only financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the parent company only financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including audit committee, are responsible for overseeing the Company's financial reporting process.

Auditors' responsibilities for the audit of the parent company only financial statements

Our objectives are to obtain reasonable assurance about whether the parent company only financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these parent company only financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the parent company only financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the parent company only financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

5. Evaluate the overall presentation, structure and content of the parent company only financial statements, including the disclosures, and whether the parent company only financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the parent company only financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the parent company only financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Liao, Fu-Ming

Lin, Yung-Chih

For and on Behalf of PricewaterhouseCoopers, Taiwan

March 12, 2026

The accompanying parent company only financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying parent company only financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

As the financial statements are the responsibility of the management, PricewaterhouseCoopers cannot accept any liability for the use of, or reliance on, the English translation or for any errors or misunderstandings that may derive from the translation.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY BALANCE SHEETS
(In thousands of New Taiwan dollar)

Assets		Notes	December 31, 2025		December 31, 2024	
			AMOUNT	%	AMOUNT	%
Current assets						
1100	Cash and cash equivalents	6(1)	\$ 497,109	15	\$ 413,719	12
1110	Financial assets at fair value through profit or loss – current	6(2)	1,080	-	-	-
1170	Accounts receivable, net	6(4)	283,269	8	151,159	4
1180	Accounts receivable – related parties, net	7	1,367	-	289	-
1200	Other receivables		1,877	-	3,620	-
1210	Other receivables – related parties	7	-	-	30,081	1
1220	Current income tax assets		1,072	-	1,481	-
130X	Inventories	6(5)	105,099	3	121,646	4
1410	Prepayments		21,353	1	17,242	1
1470	Other current assets		22,197	1	27,695	1
11XX	Total current assets		934,423	28	766,932	23
Non-current assets						
1510	Financial assets at fair value through profit or loss – non-current	6(2)	42,413	1	30,477	1
1517	Financial assets at fair value through other comprehensive income – non-current	6(3)	5,500	-	5,500	-
1550	Investments accounted for under equity method	6(6)	1,767,713	52	1,882,807	56
1600	Property, plant and equipment	6(7) and 8	549,531	16	577,384	17
1755	Right-of-use assets	6(8) and 7	16,452	1	31,052	1
1760	Investment property, net	6(9)	43,226	1	43,357	1
1780	Intangible assets		1,257	-	-	-
1840	Deferred income tax assets	6(28)	14,911	1	12,031	1
1975	Net defined benefit asset – non-current	6(15)	13,597	-	12,199	-
1990	Other non-current assets	8	6,998	-	5,642	-
15XX	Total non-current assets		2,461,598	72	2,600,449	77
1XXX	Total assets		\$ 3,396,021	100	\$ 3,367,381	100

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JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY BALANCE SHEETS
(In thousands of New Taiwan dollar)

Liabilities and Equity			December 31, 2025		December 31, 2024	
			AMOUNT	%	AMOUNT	%
Current liabilities						
2100	Short-term borrowings	6(10)	\$ -	-	\$ 45,000	1
2120	Financial liabilities at fair value through profit or loss – current	6(2)	2,425	-	2,671	-
2130	Contract liabilities – current	6(21)	1,376	-	1,757	-
2170	Accounts payable	6(11)	115,128	3	141,464	4
2180	Accounts payable to related parties	7	159,071	5	8,027	-
2200	Other payables	6(12)	111,361	3	124,057	4
2220	Other payables to related parties	7	844	-	217	-
2280	Lease liabilities – current	7	16,450	1	15,644	1
2320	Long-term borrowings - current	6(14)	-	-	50,000	2
2399	Other current liabilities		4,399	-	3,409	-
21XX	Total current liabilities		411,054	12	392,246	12
Non-current liabilities						
2530	Bonds payable	6(13)	378,787	11	-	-
2540	Long-term borrowings	6(14)	-	-	150,000	4
2570	Deferred income tax liabilities	6(28)	139,836	4	172,359	5
2580	Lease liabilities – non-current	7	375	-	15,844	1
2600	Other non-current liabilities		5,833	1	5,741	-
25XX	Total non-current liabilities		524,831	16	343,944	10
2XXX	Total liabilities		935,885	28	736,190	22
Equity						
	Share capital	6(17)				
3110	Ordinary share		892,631	26	892,631	26
3140	Advance receipts for share capital		53,713	2	-	-
	Capital surplus	6(18)				
3200	Capital surplus		1,673,964	49	1,622,130	48
	Retained earnings	6(19)				
3310	Legal reserve		142,048	4	151,775	5
3320	Special reserve		280,709	8	369,917	11
3350	Accumulated deficit		(202,062)	(6)	(98,935)	(3)
	Other equity interest	6(20)				
3400	Other equity interest		(355,248)	(10)	(280,708)	(8)
3500	Treasury shares	6(17)	(25,619)	(1)	(25,619)	(1)
3XXX	Total equity		2,460,136	72	2,631,191	78
	Significant contingent liabilities and unrecognized contract commitments	9				
	Significant events after the balance sheet date	11				
3X2X	Total liabilities and equity		\$ 3,396,021	100	\$ 3,367,381	100

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollar)

Year ended December 31

	Items	Notes	2025		2024	
			AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(21) and 7	\$ 1,357,653	100	\$ 1,086,387	100
5000	Operating costs	6(5)(26) and 7	(1,160,541)	(86)	(931,017)	(86)
5900	Gross profit from operations		197,112	14	155,370	14
5910	Unrealized loss from sales		(12,640)	(1)	(2,690)	-
5920	Realized profit from sales		12,575	1	4,939	-
5950	Gross profit		197,047	14	157,619	14
	Operating expenses	6(26) and 7				
6100	Selling and marketing expenses		(63,445)	(5)	(70,999)	(7)
6200	General and administrative expenses		(257,994)	(19)	(210,738)	(19)
6300	Research and development expenses		(58,003)	(4)	(58,602)	(5)
6450	Expected credit loss	12(2)	(2,664)	-	(185)	-
6000	Total operating expenses		(382,106)	(28)	(340,524)	(31)
6900	Net operating loss		(185,059)	(14)	(182,905)	(17)
	Non-operating income and expenses					
7100	Interest income	6(22) and 7	3,969	1	7,898	1
7010	Other income	6(23) and 7	30,280	2	37,498	4
7020	Other gains and losses	6(24)	2,934	-	(21,087)	(2)
7050	Finance costs	6(25)	(6,290)	-	(6,079)	(1)
7070	Share of profit of subsidiaries and associates accounted for under equity method	6(6)	(64,287)	(5)	62,247	6
7000	Total non-operating income and expenses		(33,394)	(2)	80,477	8
7900	Loss before income tax		(218,453)	(16)	(102,428)	(9)
7950	Income tax benefit	6(28)	21,127	1	1,407	-
8200	Loss for the year		(\$ 197,326)	(15)	(\$ 101,021)	(9)
	Other comprehensive income (loss)					
	Components of other comprehensive income that will not be reclassified to profit or loss					
8311	Gains on remeasurements of defined benefit plan	6(15)	\$ 1,215	-	\$ 1,878	-
	Components of other comprehensive income that will be reclassified to profit or loss					
8361	Financial statements translation differences of foreign operations	6(6)(20)	(74,540)	(5)	89,208	8
8300	Other comprehensive income (loss) for the year		(\$ 73,325)	(5)	\$ 91,086	8
8500	Total comprehensive income for the year		(\$ 270,651)	(20)	(\$ 9,935)	(1)
	Loss per share (in dollars)	6(29)				
9750	Basic loss per share		(\$ 2.24)		(\$ 1.14)	
9850	Diluted loss per share		(\$ 2.24)		(\$ 1.14)	

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF CHANGES IN EQUITY
(In thousands of New Taiwan dollars)

	Notes	Capital			Retained Earnings			Financial statements translation differences of foreign operations	Treasury shares	Total equity
		Share capital ordinary share	Advance receipts for share capital	Capital surplus	Legal reserve	Special reserve	Unappropriated retained earnings (accumulated deficit)			
<u>Year ended December 31, 2024</u>										
Balance at January 1, 2024		\$ 892,631	\$ -	\$ 1,666,262	\$ 143,906	\$ 362,837	\$ 59,289	(\$ 369,916)	\$ -	\$ 2,755,009
Loss for the year		-	-	-	-	-	(101,021)	-	-	(101,021)
Other comprehensive income		-	-	-	-	-	1,878	89,208	-	91,086
Total comprehensive income (loss) for the year		-	-	-	-	-	(99,143)	89,208	-	(9,935)
Appropriations of 2023 earnings:	6(19)									
Legal reserve		-	-	-	7,869	-	(7,869)	-	-	-
Special reserve		-	-	-	-	7,080	(7,080)	-	-	-
Cash dividends		-	-	-	-	-	(44,132)	-	-	(44,132)
Distribution of cash from capital surplus	6(18)	-	-	(44,132)	-	-	-	-	-	(44,132)
Purchase of treasury shares	6(17)	-	-	-	-	-	-	-	(25,619)	(25,619)
Balance at December 31, 2024		<u>\$ 892,631</u>	<u>\$ -</u>	<u>\$ 1,622,130</u>	<u>\$ 151,775</u>	<u>\$ 369,917</u>	<u>(\$ 98,935)</u>	<u>(\$ 280,708)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,631,191</u>
<u>Year ended December 31, 2025</u>										
Balance at January 1, 2025		\$ 892,631	\$ -	\$ 1,622,130	\$ 151,775	\$ 369,917	(\$ 98,935)	(\$ 280,708)	(\$ 25,619)	\$ 2,631,191
Loss for the year		-	-	-	-	-	(197,326)	-	-	(197,326)
Other comprehensive income		-	-	-	-	-	1,215	(74,540)	-	(73,325)
Total comprehensive income (loss) for the year		-	-	-	-	-	(196,111)	(74,540)	-	(270,651)
Appropriations of 2024 earnings:	6(19)									
Legal reserve used to cover accumulated deficit		-	-	-	(9,727)	-	9,727	-	-	-
Reversal of special reserve		-	-	-	-	(89,208)	89,208	-	-	-
Distribution of cash from capital surplus	6(18)	-	-	(44,132)	-	-	-	-	-	(44,132)
Issue of shares	6(17)	-	53,713	-	-	-	-	-	-	53,713
Due to recognition of equity component of convertible bonds issued	6(13)(18)	-	-	66,922	-	-	-	-	-	66,922
Share-based payments	6(16)(18)	-	-	36,950	-	-	-	-	-	36,950
Changes in ownership interests in subsidiaries	6(6)	-	-	(7,906)	-	-	(5,951)	-	-	(13,857)
Balance at December 31, 2025		<u>\$ 892,631</u>	<u>\$ 53,713</u>	<u>\$ 1,673,964</u>	<u>\$ 142,048</u>	<u>\$ 280,709</u>	<u>(\$ 202,062)</u>	<u>(\$ 355,248)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,460,136</u>

The accompanying notes are an integral part of these parent company only financial statements.

IOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2025	2024
<u>CASH FLOWS FROM OPERATING ACTIVITIES</u>			
Loss before tax		(\$ 218,453)	(\$ 102,428)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(7)(26)	46,751	44,552
Depreciation charges on right-of-use assets	6(8)(26)	16,106	15,564
Depreciation charges on investment property	6(9)(26)	131	130
Expected credit loss	12(2)	2,664	185
Amortization charges	6(26)	17,357	16,134
Interest income	6(22)	(3,969)	(7,898)
Dividend income	6(23)	-	(1,174)
Compensation cost	6(16)	36,950	-
Gain on disposal of property, plant, and equipment	6(24)	(500)	(20)
(Gain) loss on financial assets at fair value through profit or loss	6(24)	(12,063)	17,513
Impairment loss of investments accounted for under equity method	6(6)(24)	-	14,916
Impairment loss of property, plant, and equipment	6(7)(24)	-	2,263
Interest expense	6(25)	5,786	6,079
Share of profit of subsidiaries and associates accounted for under equity method	6(6)	64,287	(62,247)
Unrealized profit from sales		12,640	2,690
Realized profit from sales		(12,575)	(4,939)
Changes in operating assets and liabilities			
Changes in operating assets			
Accounts receivable, net		(134,774)	44,551
Accounts receivable - related parties, net		(1,078)	2,109
Other receivables		1,516	(1,055)
Other receivables - related parties		-	(30,000)
Inventories		16,547	(33,154)
Other current assets		(15,857)	(30,665)
Net defined benefit asset - non-current		(183)	(115)
Changes in operating liabilities			
Contract liabilities - current		(381)	(2,117)
Accounts payable		(26,336)	(11,784)
Accounts payable to related parties		151,044	(6,865)
Other payables		(12,950)	11,036
Other payables to related parties		627	(32)
Other current liabilities		990	1,608
Other non-current liabilities		92	85
Cash outflow used in operations		(65,631)	(115,078)
Interest received		4,277	7,908
Other dividend received		-	1,174
Interest paid		(5,386)	(5,394)
Income taxes paid		(14,276)	(30,015)
Refund income taxes paid		409	190
Net cash flows used in operating activities		(80,607)	(141,215)

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IOCHU TECHNOLOGY CO., LTD.
PARENT COMPANY ONLY STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

		Year ended December 31	
	Notes	2025	2024
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Increase in financial assets at fair value through profit or loss		\$ 1	(\$ 16,420)
Acquisition of financial assets at fair value through other comprehensive income		-	(5,500)
Acquisition of investments accounted for under equity method	6(6)	(125,693)	-
Acquisition of property, plant, and equipment	6(30)	(21,106)	(92,085)
Proceeds from disposal of property, plant, and equipment		500	20
Increase in guarantee deposits paid		(1,067)	-
Decrease in guarantee deposits paid		-	10
Acquisition of intangible assets		(1,370)	-
Increase in prepayments for equipment		(289)	(1,519)
Dividends received	6(6)	118,038	260,927
Net cash flows (used in) generated from investing activities		(30,986)	145,433
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings	6(31)	295,000	430,000
Repayments of short-term borrowings	6(31)	(340,000)	(430,000)
Proceeds from issuance of bonds payable	6(13)(31)	447,042	-
Proceeds from long-term borrowings	6(31)	100,000	-
Repayments of long-term borrowings	6(31)	(300,000)	(50,000)
Payments of lease liabilities	6(31)	(16,648)	(16,075)
Proceeds from issue of shares	6(17)	53,713	-
Purchase of treasury shares	6(17)	-	(25,619)
Distribution of cash from capital surplus	6(18)	(44,124)	(44,132)
Cash dividends paid	6(19)	-	(44,132)
Net cash flows generated from (used in) financing activities		194,983	(179,958)
Net increase (decrease) in cash and cash equivalents		83,390	(175,740)
Cash and cash equivalents at beginning of year		413,719	589,459
Cash and cash equivalents at end of year		\$ 497,109	\$ 413,719

The accompanying notes are an integral part of these parent company only financial statements.

JOCHU TECHNOLOGY CO., LTD.
NOTES TO THE PARENT COMPANY ONLY FINANCIAL STATEMENTS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

(In thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company is primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorization for Issuance of the Financial Statements and Procedures for Authorization

These parent company only financial statements were authorized for issuance by the Board of Directors on March 12, 2026.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS[®]”) Accounting Standards that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 21, ‘Lack of exchangeability’	January 1, 2025

The above standards and interpretations have no significant impact to the Company’s financial condition and financial performance based on the Company’s assessment.

The above standards and interpretations have no significant impact to the Company’s financial condition and financial performance based on the Company’s assessment.

(2) Effect of new issuances of or amendments to IFRSs Accounting Standards as endorsed by the FSC but not yet adopted by the Company

New standards, interpretations and amendments endorsed by the FSC effective from 2026 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, ‘Amendments to the classification and measurement of financial Instruments’	January 1, 2026
Amendments to IFRS 9 and IFRS 7, ‘Contracts Referencing Nature-dependent Electricity’	January 1, 2026
IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendments to IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendments to IFRS 17, ‘Initial application of IFRS 17 and IFRS 9 – comparative information’	January 1, 2023
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

The above standards and interpretations have no significant impact to the Company’s financial condition and financial performance based on the Company’s assessment.

(3) IFRSs Accounting Standards issued by International Accounting Standards Board (“IASB”) but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs Accounting Standards as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 10 and IAS 28, ‘Sale or contribution of assets between an investor and its associate or joint venture’	To be determined by IASB
IFRS 18, ‘Presentation and disclosure in financial statements’	January 1, 2027(Note)
IFRS 19, ‘Subsidiaries without public accountability: disclosures’	January 1, 2027
IFRS 21,	January 1, 2027

Note : On September 25, 2025, the FSC announced that IFRS 18 will take effect starting from January 1, 2028. Domestic entities could elect to apply IFRS 18 for an earlier period after the endorsement of IFRS 18 by the FSC.

Except for the following, the above standards and interpretations have no significant impact to the Company’s financial condition and financial performance based on the Company’s assessment :

IFRS 18, ‘Presentation and disclosure in financial statements’

IFRS 18, ‘Presentation and disclosure in financial statements’ replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these parent company only financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

The parent company only financial statements of the Company have been prepared in accordance with the “Regulations Governing the Preparation of Financial Reports by Securities Issuers.

(2) Basis of preparation

- A. Except for the following items, the parent company only financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the parent company only financial statements are disclosed in Note 5.

(3) Foreign currency translation

Items included in the parent company only financial statements are measured using the currency of the primary economic environment in which the Company operates (the “functional currency”). The parent company only financial statements are presented in New Taiwan dollars, which is the Company’s functional and presentation currency.

A. Foreign currency transactions and balances

- (a) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in profit or loss in the period in which they arise.
- (b) Monetary assets and liabilities denominated in foreign currencies at the period end are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognized in profit or loss.

- (c) Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.
- (d) All foreign exchange gains and losses are presented in the statement of comprehensive income within 'other gains and losses'.

B. Translation of foreign operations

The operating results and financial position of all the group entities, associates and joint arrangements that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- (a) Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;
- (b) Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and
- (c) All resulting exchange differences are recognized in other comprehensive income.

(4) Classification of current and non-current items

- A. Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:
 - (a) Assets arising from operating activities that are expected to be realized, or are intended to be sold or consumed within the normal operating cycle;
 - (b) Assets held mainly for trading purposes;
 - (c) Assets that are expected to be realized within twelve months from the balance sheet date;
 - (d) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to settle liabilities more than twelve months after the balance sheet date.
- B. Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:
 - (a) Liabilities that are expected to be settled within the normal operating cycle;
 - (b) Liabilities arising mainly from trading activities;
 - (c) Liabilities that are to be settled within twelve months from the balance sheet date;

- (d) Liabilities for which the repayment date cannot be extended unconditionally to more than twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(5) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(6) Financial assets at fair value through profit or loss

- A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortized cost or fair value through other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Company measures the financial assets at fair value and recognizes the transaction costs in profit or loss. The Company subsequently measures the financial assets at fair value, and recognizes the gain or loss in profit or loss.
- D. The Company recognizes the dividend income when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Company and the amount of the dividend can be measured reliably.

(7) Financial assets at fair value through other comprehensive income

- A. Financial assets at fair value through other comprehensive income comprise equity securities which are not held for trading, and for which the Company has made an irrevocable election at initial recognition to recognize changes in fair value in other comprehensive income.
- B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognized and derecognized using trade date accounting.
- C. At initial recognition, the Company measures the financial assets at fair value plus transaction costs. The Company subsequently measures the financial assets at fair value:
The changes in fair value of equity investments that were recognized in other comprehensive income are reclassified to retained earnings and are not reclassified to profit or loss following the derecognition of the investment. Dividends are recognized as revenue when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Company and the amount of the dividend can be measured reliably.

(8) Notes and accounts receivable

- A. Notes and accounts receivable entitle the Company a legal right to receive consideration in exchange for transferred goods or rendered services.

- B. The short-term notes and accounts receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(9) Impairment of financial assets

For financial assets at amortized cost including accounts receivable that have a significant financing component, at each reporting date, the Company recognizes the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognizes the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information that includes forecasts. On the other hand, for accounts receivable or contract assets that do not contain a significant financing component, the Company recognizes the impairment provision for lifetime ECLs.

(10) Derecognition of financial assets

The Company derecognizes a financial asset when the contractual rights to receive the cash flows from the financial asset expired.

(11) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the weighted-average method. The cost of finished goods and work in progress comprises raw materials, direct labor, other direct costs and related production overheads (allocated based on normal operating capacity). It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated cost of completion and the estimated costs necessary to make the sale.

(12) Investments accounted for under equity method / subsidiaries

- A. Subsidiaries are entities controlled by the Company. The Company controls the entity when the Company is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.
- B. All unrealized profit or loss resulting from transactions between the Company and its subsidiaries have been eliminated in full. Accounting policies of subsidiaries have been adjusted when necessary in order to be consistent with those of the Company.
- C. The Company's share of profit or loss in subsidiaries after acquisition is recognized in profit or loss, whereas its share of other comprehensive income in subsidiaries after acquisition is recognized in other comprehensive income. If the Company's share of loss in a subsidiary exceeds its share of equity in such a subsidiary, the Company continues to recognize losses in its shareholding percentage.

- D. If changes in the Company's ownership interest in a subsidiary do not result in a loss of control, such changes are accounted for as equity transactions. The difference between the adjustment to non-controlling interests and the fair value of the consideration paid or received is recognized directly in equity.
- E. According to Regulations Governing the Preparation of Financial Reports by Securities Issuers, the profit or loss of the period and other comprehensive income presented in parent company only financial statements shall be the same as the allocations of profit or loss of the period and of other comprehensive income attributable to owners of the parent presented in the financial statements prepared on a consolidated basis, and the owners' equity presented in the parent company only financial statements shall be the same as the equity attributable to owners of the parent presented in the financial statements prepared on a consolidated basis.

(13) Property, plant and equipment

- A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalized.
- B. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.
- C. Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.
- D. The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	8 years ~ 36 years
Machinery and equipment	5 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	3 years
Leasehold improvements	5 years
Other equipment	4 years ~ 6 years

(14) Leasing arrangements (lessee) — right-of-use assets / lease liabilities

- A. Leases are recognized as a right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Company. For short-term leases or leases of low-value assets, lease payments are recognized as an expense on a straight-line basis over the lease term.
- B. Lease liabilities include the net present value of the remaining lease payments at the commencement date, discounted using the incremental borrowing interest rate. Lease payments are comprised of fixed payments, less any lease incentives receivable. The Company subsequently measures the lease liability at amortized cost using the interest method and recognizes interest expense over the lease term. The lease liability is remeasured and the amount of remeasurement is recognized as an adjustment to the right-of-use asset when there are changes in the lease term or lease payments and such changes do not arise from contract modifications.
- C. At the commencement date, the right-of-use asset is stated at cost comprising the amount of the initial measurement of lease liability. The right-of-use asset is measured subsequently using the cost model and is depreciated from the commencement date to the earlier of the end of the asset's useful life or the end of the lease term. When the lease liability is remeasured, the amount of remeasurement is recognized as an adjustment to the right-of-use asset.
- D. For lease modifications that decrease the scope of the lease, the lessee shall decrease the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease, and recognize the difference in profit or loss.

(15) Investment property

An investment property is stated initially at its cost and measured subsequently using the cost model. Except for land, investment property is depreciated on a straight-line basis over its estimated useful life of 28.5 years.

(16) Intangible asset

An computer software is recognition of acquisition cost, computer software is depreciated on a straight-line basis over its estimated useful life of 4 years.

(17) Impairment of non-financial assets

The Company assesses at each balance sheet date the recoverable amounts of those assets where there is an indication that they are impaired. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell or value in use. When the circumstances or reasons for recognizing impairment loss for an asset in prior years no longer exist or diminish, the impairment loss is reversed. The increased carrying amount due to reversal should not be more than what the depreciated or amortized historical cost would have been if the impairment had not been recognized.

(18) Borrowings

Borrowings comprise long-term and short-term bank borrowings. Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognized in profit or loss over the period of the borrowings using the effective interest method.

(19) Notes and accounts payable

- A. Accounts payable are liabilities for purchases of raw materials, goods or services and notes payable are those resulting from operating and non-operating activities.
- B. The short-term notes and accounts payable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(20) Convertible Bonds Payable

Convertible bonds or issued by the Company contain conversion options (that is, the bondholders have the right to convert the bonds into the Company's common shares by exchanging a fixed amount of cash for a fixed number of common shares), call options and put options. The Group classifies the bonds payable upon issuance as a financial asset, a financial liability or an equity instrument in accordance with the contract terms. They are accounted for as follows:

- A. The embedded call options and put options are recognised initially at net fair value as 'financial assets or financial liabilities at fair value through profit or loss'. They are subsequently remeasured and stated at fair value on each balance sheet date; the gain or loss is recognised as 'gain or loss on valuation of financial assets or financial liabilities at fair value through profit or loss'.
- B. The host contracts of bonds or are initially recognised at fair value. Any difference between the initial recognition and the redemption value is accounted for as the premium or discount on bonds payable or and subsequently is amortised in profit or loss as an adjustment to 'finance costs' over the period of circulation using the effective interest method.
- C. The embedded conversion options which meet the definition of an equity instrument are initially recognised in 'capital surplus—share options' at the residual amount of total issue price less the amount of financial assets or financial liabilities at fair value through profit or loss and bonds payable or as stated above. Conversion options are not subsequently remeasured.
- D. Any transaction costs directly attributable to the issuance are allocated to each liability or equity component in proportion to the initial carrying amount of each abovementioned item.
- E. When bondholders exercise conversion options, the liability component of the bonds (including bonds payable or and 'financial assets or financial liabilities at fair value through profit or loss') shall be remeasured on the conversion date. The issuance cost of converted common shares is the total carrying amount of the abovementioned liability component and 'capital surplus—share options'.

(21) Derecognition of financial liabilities

A financial liability is derecognized when the obligation specified in the contract is either discharged or cancelled or expires.

(22) Non-hedging and embedded derivatives

Non-hedging derivatives are initially recognized at fair value on the date a derivative contract is entered into and recorded as financial assets or financial liabilities at fair value through profit or loss. They are subsequently remeasured at fair value and the gains or losses are recognized in profit or loss.

(23) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognized as expense in that period when the employees render service.

B. Pensions

(a) Defined contribution plans

For defined contribution plans, the contributions are recognized as pension expense when they are due on an accrual basis. Prepaid contributions are recognized as an asset to the extent of a cash refund or a reduction in the future payments.

(b) Defined benefit plans

i. Net obligation under a defined benefit plan is defined as the present value of an amount of pension benefits that employees will receive on retirement for their services with the Company in current period or prior periods. The liability recognized in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets. The net defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

ii. Remeasurements arising on the defined benefit plan are recognized in other comprehensive income in the period in which they arise and are recorded as retained earnings.

iii. Past service costs are recognized immediately in profit or loss.

C. Employees' compensation and directors' and supervisors' remuneration

Employees' compensation and directors' and supervisors' remuneration are recognized as expense and liability, provided that such recognition is required under legal or constructive obligation and those amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employee compensation is paid by shares, the Company calculates the number of shares based on the closing price at the previous day of the board meeting resolution.

(24) Employee share-based payment

For the equity-settled share-based payment arrangements, the employee services received are measured at the fair value of the equity instruments granted at the grant date, and are recognised as compensation cost over the vesting period, with a corresponding adjustment to equity. The fair value of the equity instruments granted shall reflect the impact of market vesting conditions and non-vesting conditions. Compensation cost is subject to adjustment based on the service conditions that are expected to be satisfied and the estimates of the number of equity instruments that are expected to vest under the non-market vesting conditions at each balance sheet date. Ultimately, the amount of compensation cost recognised is based on the number of equity instruments that eventually vest.

(25) Income tax

- A. The tax expense for the period comprises current and deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or items recognized directly in equity, in which cases the tax is recognized in other comprehensive income or equity.
- B. The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Company and its subsidiaries operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the stockholders resolve to retain the earnings.
- C. Deferred tax is recognized, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. However, the deferred tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences. Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred tax asset is realized or the deferred tax liability is settled.
- D. Deferred tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At each balance sheet date, unrecognized and recognized deferred tax assets are reassessed.

- E. Current income tax assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. Deferred tax assets and liabilities are offset on the balance sheet when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realize the asset and settle the liability simultaneously.

(26) Share capital

- A. Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or stock options are shown in equity as a deduction, net of tax, from the proceeds.
- B. Where the Company repurchases the Company's equity share capital that has been issued, the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently reissued, the difference between their book value and any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Company's equity holders.

(27) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(28) Revenue recognition

- A. The Company manufactures and sells optoelectronic components, medical devices, and metal furniture. Sales are recognized when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Company has objective evidence that all criteria for acceptance have been satisfied.
- B. Revenue from these sales is recognized based on the price specified in the contract, net of the estimated sales return, discounts, and allowances. Revenue is only recognized to the extent that it is highly probable that a significant reversal will not occur. The estimation is subject to an assessment at each reporting date. A refund liability is recognized for expected sales return, discounts, and allowances payable to customers in relation to sales made until the end of the reporting period.

C. Accounts receivable is recognized when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(29) Government grants

Government grants are recognized at their fair value only when there is reasonable assurance that the Company will comply with any conditions attached to the grants and the grants will be received. Government grants are recognized in profit or loss on a systematic basis over the periods in which the Company recognizes expenses for the related costs for which the grants are intended to compensate.

Government grants related to property, plant and equipment are recognized as non-current liabilities and are amortized to profit or loss over the estimated useful lives of the related assets using the straight-line method.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The preparation of these parent company only financial statements requires management to make critical judgments in applying the Company's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. Such assumptions and estimates have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year; and the related information is addressed below:

(1) Critical judgments in applying the Company's accounting policies

None.

(2) Critical accounting estimates and assumptions

A. Evaluation of inventories

As inventories are stated at the lower of cost and net realizable value, the Company must determine the net realizable value of inventories on balance sheet date using judgments and estimates. Due to the rapid technology innovation, the Company evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value on balance sheet date, and writes down the cost of inventories to the net realizable value. Such an evaluation of inventories is principally based on the net realizable value of the products within the specified period in the future. Therefore, there might be material changes to the evaluation.

B. Impairment assessment of investments accounted for using equity method

The Company assesses the impairment of an investment accounted for using equity method as soon as there is any indication that it might have been impaired and its carrying amount cannot be recovered. The Company assesses the recoverable amounts of an investment accounted for under the equity method based on the present value of the Company's share of expected future cash flows of the investee, and analyses the reasonableness of related assumptions.

As of December 31, 2025 and 2024, the Company's investments accounted for under the equity method, net of impairment loss, amounted to \$1,767,713 and \$1,882,807.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Cash on hand and petty cash	\$ 150	\$ 150
Checking accounts and demand deposits	259,957	213,569
Time deposits	<u>237,002</u>	<u>200,000</u>
	<u>\$ 497,109</u>	<u>\$ 413,719</u>

A. The Company transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Company has no cash and cash equivalents pledged to others.

(2) Financial assets at fair value through profit or loss

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Convertible bonds-call / put option	\$ 1,200	\$ -
Valuation adjustment	<u>(120)</u>	<u>\$ -</u>
	<u>\$ 1,080</u>	<u>\$ -</u>
Non-current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Private equity fund	\$ 30,000	\$ 30,000
Valuation adjustment	<u>12,413</u>	<u>477</u>
	<u>\$ 42,413</u>	<u>\$ 30,477</u>
Current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	<u>\$ 2,425</u>	<u>\$ 2,671</u>

- A. Amounts recognized in profit or loss in relation to financial assets at fair value through profit or loss are listed below:

	Years ended December 31,	
	2025	2024
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	\$ 247	(\$ 13,887)
Convertible bonds-call / put option	(120)	-
Private equity fund	11,936	(3,626)
	(\$ 12,063)	(\$ 17,513)

- B. The Company entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

December 31, 2025		
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy NTD	USD 4,060	2026.01.12~2026.03.10
December 31, 2024		
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy NTD	USD 4,060	2025.01.10~2025.03.10

The Company entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Company had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Company transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income

<u>Items</u>	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Non-current items:		
Equity instruments		
Unlisted stocks		
Y Company	\$ 3,000	\$ 3,000
B Company	<u>2,500</u>	<u>2,500</u>
	<u>\$ 5,500</u>	<u>\$ 5,500</u>

- A. The Company has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at December 31, 2025 and 2024, the fair value of such investments were the same as the book value.
- B. As at December 31, 2025 and 2024, the Company recognized in fair value through other comprehensive income \$0.
- C. The Company had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Notes and accounts receivable

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Accounts receivable	\$ 286,668	\$ 151,894
Less: Allowance for uncollectible accounts	<u>(3,399)</u>	<u>(735)</u>
	<u>\$ 283,269</u>	<u>\$ 151,159</u>

- A. As at December 31, 2025 and 2024, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2024, the balance of receivables from contracts with customers amounted to \$195,895.
- B. The ageing analysis of notes receivable and accounts receivable is as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
	<u>Accounts receivable</u>	<u>Accounts receivable</u>
Not past due	\$ 285,021	\$ 144,587
Up to 90 days	1,647	6,572
Over 91 days	<u>-</u>	<u>735</u>
	<u>\$ 286,668</u>	<u>\$ 151,894</u>

The above ageing analysis was based on past due date.

- C. As at December 31, 2025 and 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Company's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(5) Inventories

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Raw materials	\$ 32,179	\$ 33,281
Work in progress and Semi-finished goods	82,126	63,460
Finished goods	<u>32,760</u>	<u>48,644</u>
	147,065	145,385
Less: Allowance for valuation loss	<u>(41,966)</u>	<u>(23,739)</u>
	<u>\$ 105,099</u>	<u>\$ 121,646</u>

The cost of inventories recognized as expense for the year:

	<u>Years ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Cost of inventories sold	\$ 1,149,525	\$ 940,155
Loss on decline in market value	18,227	50
Loss on disposal of inventory	1,227	242
Revenue from sale of scraps	<u>(8,438)</u>	<u>(9,430)</u>
	<u>\$ 1,160,541</u>	<u>\$ 931,017</u>

(6) Investments accounted for under equity method

	<u>2025</u>	<u>2024</u>
At January 1	\$ 1,882,807	\$ 2,004,946
Addition of investments accounted for under equity method	141,836	-
Share of profit of investments accounted for under equity method	(64,287)	62,247
Investments accounted for under equity method impairment loss	- (	14,916)
Earnings distribution of investments accounted for under equity method	(118,038)	(260,927)
Changes in other equity items (Note 6(20))	(74,540)	89,208
Others	<u>(65)</u>	<u>2,249</u>
At December 31	<u>\$ 1,767,713</u>	<u>\$ 1,882,807</u>

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Subsidiaries		
JOCHU INVESTMENT LTD.		
(JOCHU BVI)	\$ 1,699,109	\$ 1,828,362
LEGIUN Technology Co., Ltd.	22,560	31,654
eBio International Co., Ltd.	<u>46,044</u>	<u>22,791</u>
	<u>\$ 1,767,713</u>	<u>\$ 1,882,807</u>

A. Subsidiaries

- (a) For information on the Company's subsidiaries, refer to Note 4(3) in the 2025 consolidated financial statements.
- (b) The Company invested \$113,705 (US\$3,900 thousand) in JOCHU BVI in 2025.
- (c) On February 6, 2025, the Company's Board of Directors resolved to increase investment in eBio International. In February 2025, the Company converted debt of \$30,000 into equity and additionally contributed \$6,000 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 52.02% to 73.66% as of March 31, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in capital surplus and retained earnings in the amounts of \$7,906 and \$4,823, respectively.
- (d) On August 13, 2025, the Company's Board of Directors resolved to increase investment in eBio International. The Company contributed \$5,988 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 73.66% to 75.49% as of September 30, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in retained earnings in the amounts of \$1,128.
- (e) The Company received from JOCHU BVI the earnings distribution of \$118,038 (US\$3,939 thousand) and \$260,927 (US\$8,253 thousand) in 2025 and 2024, respectively.
- (f) Since its establishment, eBio International Co., Ltd. has continuously faced losses due to market changes and operational challenges. Consequently, the Company's actual revenue growth and budget achievement following the acquisition have fallen short of expectations. From the acquisition date to December 31, 2024, there has been a significant discrepancy between the actual revenue and operating profit/loss compared to the original projections. As of December 31, 2024, the Company assessed the recoverable amount of its investment in eBio International Co., Ltd. by evaluating past budget execution results and estimating the fair value based on expected future cash flows. The fair value was determined using a discount rate of 15.47%. Based on this assessment, the impairment loss recognized under the equity method for the year 2024 amounted to \$14,916.
- (g) The share of loss of investment accounted for under equity method in eBio International Co., Ltd. was (\$4,878) and (\$19,818) for the year ended December 31, 2025 and 2024, which was recognized based solely on the audit report of other independent auditors.

(7) Property, plant and equipment

	2025								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 273,059	\$ 476,325	\$ 599,828	\$ 5,133	\$ 11,209	\$ 22,468	\$ 114,228	\$ 150	\$ 1,502,400
Accumulated depreciation	-	(270,149)	(495,290)	(5,133)	(8,934)	(13,896)	(100,577)	-	(893,979)
Accumulated impairment	-	(14,674)	(16,363)	-	-	-	-	-	(31,037)
	<u>\$ 273,059</u>	<u>\$ 191,502</u>	<u>\$ 88,175</u>	<u>\$ -</u>	<u>\$ 2,275</u>	<u>\$ 8,572</u>	<u>\$ 13,651</u>	<u>\$ 150</u>	<u>\$ 577,384</u>
Opening net book amount as at January 1	\$ 273,059	\$ 191,502	\$ 88,175	\$ -	\$ 2,275	\$ 8,572	\$ 13,651	\$ 150	\$ 577,384
Additions	-	286	7,963	-	1,551	2,320	6,256	522	18,898
Depreciation charge	-	(14,865)	(20,844)	-	(1,074)	(2,502)	(7,466)	-	(46,751)
Closing net book amount as at December 31	<u>\$ 273,059</u>	<u>\$ 176,923</u>	<u>\$ 75,294</u>	<u>\$ -</u>	<u>\$ 2,752</u>	<u>\$ 8,390</u>	<u>\$ 12,441</u>	<u>\$ 672</u>	<u>\$ 549,531</u>
At December 31									
Cost	\$ 273,059	\$ 476,611	\$ 564,696	\$ 5,133	\$ 12,521	\$ 24,788	\$ 120,263	\$ 672	\$ 1,477,743
Accumulated depreciation	-	(285,014)	(477,210)	(5,133)	(9,769)	(16,398)	(107,822)	-	(901,346)
Accumulated impairment	-	(14,674)	(12,192)	-	-	-	-	-	(26,866)
	<u>\$ 273,059</u>	<u>\$ 176,923</u>	<u>\$ 75,294</u>	<u>\$ -</u>	<u>\$ 2,752</u>	<u>\$ 8,390</u>	<u>\$ 12,441</u>	<u>\$ 672</u>	<u>\$ 549,531</u>

2024

	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 273,059	\$ 469,701	\$ 527,211	\$ 5,133	\$ 9,352	\$ 16,624	\$ 102,248	\$ -	\$ 1,403,328
Accumulated depreciation	- (	255,277)	(475,456)	(5,133)	(8,187)	(12,115)	(92,246)	- (	850,414)
Accumulated impairment	- (	14,674)	(14,100)	-	-	-	-	-	(28,774)
	<u>\$ 273,059</u>	<u>\$ 199,750</u>	<u>\$ 37,655</u>	<u>\$ -</u>	<u>\$ 1,165</u>	<u>\$ 4,509</u>	<u>\$ 8,002</u>	<u>\$ -</u>	<u>\$ 524,140</u>
Opening net book amount as at January 1	\$ 273,059	\$ 199,750	\$ 37,655	\$ -	\$ 1,165	\$ 4,509	\$ 8,002	\$ -	\$ 524,140
Additions	-	6,624	68,054	-	1,804	5,844	12,197	150	94,673
Depreciation charge	- (	14,872)	(20,604)	- (	747)	(1,781)	(6,548)	- (	44,552)
Impairment loss	-	-	(2,263)	-	-	-	-	-	(2,263)
Reclassifications	-	-	5,333	-	53	-	-	-	5,386
Closing net book amount as at December 31	<u>\$ 273,059</u>	<u>\$ 191,502</u>	<u>\$ 88,175</u>	<u>\$ -</u>	<u>\$ 2,275</u>	<u>\$ 8,572</u>	<u>\$ 13,651</u>	<u>\$ 150</u>	<u>\$ 577,384</u>
At December 31									
Cost	\$ 273,059	\$ 476,325	\$ 599,828	\$ 5,133	\$ 11,209	\$ 22,468	\$ 114,228	\$ 150	\$ 1,502,400
Accumulated depreciation	- (	270,149)	(495,290)	(5,133)	(8,934)	(13,896)	(100,577)	- (	893,979)
Accumulated impairment	- (	14,674)	(16,363)	-	-	-	-	-	(31,037)
	<u>\$ 273,059</u>	<u>\$ 191,502</u>	<u>\$ 88,175</u>	<u>\$ -</u>	<u>\$ 2,275</u>	<u>\$ 8,572</u>	<u>\$ 13,651</u>	<u>\$ 150</u>	<u>\$ 577,384</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 8~16 years, respectively.
- C. The Company has estimated that the expected future cash flows of certain machinery and equipment used in the production of products will decrease resulting in a recoverable amount which is less than the book value. Accordingly, for the years ended December 31, 2024, the Company recognized impairment loss of \$2,263.
- D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- E. The amount of reclassifications for the year in 2024 was reclassified from other non-current assets to property, plant and equipment.

(8) Leasing arrangements — lessee

- A. The Company leases various assets including buildings and business vehicles, and rental contracts are typically made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount	
	December 31, 2025	December 31, 2024
Buildings	\$ 14,938	\$ 29,320
Business vehicles	1,514	1,732
	<u>\$ 16,452</u>	<u>\$ 31,052</u>
	Depreciation charge	
	Years ended December 31,	
	2025	2024
Buildings	\$ 14,939	\$ 14,660
Business vehicles	1,167	904
	<u>\$ 16,106</u>	<u>\$ 15,564</u>

- D. For the years ended December 31, 2025 and 2024, the additions to right-of-use assets were \$1,506 and \$14,356, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Years ended December 31,	
	2025	2024
<u>Items affecting profit or loss</u>		
Interest expense on lease liabilities	\$ 479	\$ 704
Expense on short-term lease contracts	3,623	3,174
Expense on leases of low-value assets	37	32

F. For the years ended December 31, 2025 and 2024, the Company's total cash outflow for leases were \$20,308 and \$19,281, respectively.

G. On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. Since January 1, 2026, the monthly lease payments will be adjusted according to the price index based on the originally agreed lease contract. The estimated increase in right-of-use assets will be \$296.

(9) Investment property

	2025		
	Land	Buildings	Total
At January 1			
Cost	\$ 40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment	-	(456)	(456)
	<u>\$ 40,084</u>	<u>\$ 3,273</u>	<u>\$ 43,357</u>
Opening net book amount as at January 1	\$ 40,084	\$ 3,273	\$ 43,357
Depreciation charge	-	(131)	(131)
Closing net book amount as at December 31	<u>\$ 40,084</u>	<u>\$ 3,142</u>	<u>\$ 43,226</u>
At December 31			
Cost	\$ 40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment	-	(587)	(587)
	<u>\$ 40,084</u>	<u>\$ 3,142</u>	<u>\$ 43,226</u>

		2024		
		Land	Buildings	Total
At January 1				
Cost	\$	40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment		-	(326)	(326)
	\$	<u>40,084</u>	\$ <u>3,403</u>	\$ <u>43,487</u>
Opening net book amount as at January 1				
	\$	40,084	\$ 3,403	\$ 43,487
Depreciation charge		-	(130)	(130)
Closing net book amount as at December 31	\$	<u>40,084</u>	\$ <u>3,273</u>	\$ <u>43,357</u>
At December 31				
Cost	\$	40,084	\$ 3,729	\$ 43,813
Accumulated depreciation and impairment		-	(456)	(456)
	\$	<u>40,084</u>	\$ <u>3,273</u>	\$ <u>43,357</u>

- A. In 2021, the Company purchased an office in Neihu, Taipei and leased it to LEGIUN Technology Co., Ltd.; the asset was recognized as investment property. The lease term is three years, with the option to extend the lease term. When exercising the lease renewal right, the lessee agrees to adjust the rent according to the market rent situation. At the end of the lease term, the lessee does not have the preferential right to purchase the property.

The above-mentioned lease expires in 2023 and is renewed for another five years.

- B. Rental income from investment property and direct operating expenses arising from investment property are shown below:

	Years ended December 31,	
	2025	2024
Rental income from investment property	\$ <u>1,160</u>	\$ <u>1,160</u>
Direct operating expenses arising from the investment property that generated rental income during the year	\$ <u>131</u>	\$ <u>130</u>

The total amount of lease payments to be collected in the future from the leasing of the investment property is as follows:

	<u>Year ended December 31, 2025</u>	<u>Year ended December 31, 2024</u>
Within 1 year	\$ 1,218	\$ 1,218
1 - 2 years	1,218	1,218
2 - 5 years	<u>1,218</u>	<u>2,436</u>
	<u>\$ 3,654</u>	<u>\$ 4,872</u>

C. The fair value as of December 31, 2025 and 2024 were \$45,753 and \$45,691, respectively, which has not been evaluated by an independent evaluator and was measured only by the Company's management using a valuation model commonly used by market participants based on level 3 input values. The real estate transaction prices in the area have not changed significantly in 2025 and 2024, and the evaluation was based on the market evidence of similar real estate transaction prices.

(10) Short-term borrowings

On December 31, 2025: None.

<u>Type of borrowings</u>	<u>December 31, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	<u>\$ 45,000</u>	2.09%~2.15%	None

(11) Accounts payable

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Accounts payable	\$ 105,487	\$ 131,229
Estimated accounts payable	<u>9,641</u>	<u>10,235</u>
	<u>\$ 115,128</u>	<u>\$ 141,464</u>

(12) Other payables

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Salaries and bonus payable	\$ 64,665	\$ 66,464
Insurance payable	10,423	6,673
Others	<u>36,273</u>	<u>50,920</u>
	<u>\$ 111,361</u>	<u>\$ 124,057</u>

(13) Bonds payable

	<u>December 31, 2025</u>
Bonds payable	\$ 400,000
Loss: Bonds payable	<u>(21,213)</u>
	<u>\$ 378,787</u>

The issuance of 1st domestic secured/unsecured convertible bonds by the Company, as approved by the regulatory authority:

A. The terms are as follows

- (a) The Company issued convertible bonds with a total face value of \$400,000, carrying a coupon rate of 0%, at 111.76% of par, resulting in total proceeds of \$447,042. The bonds have a term of three years, with the circulation period from December 26, 2025 to December 26, 2028. The bonds will be redeemed in cash at face value in a lump sum upon maturity. The convertible bonds were listed for trading on the Taipei Exchange on December 26, 2025. The bonds are guaranteed by CTBC Bank Co., Ltd., with a guarantee coverage ratio of 100%.
- (b) The bondholders have the right to ask for conversion of the bonds into common shares of the Company during the period from the date after three months of the bonds issue to the maturity date, except for the stop transfer period as specified in the terms of the bonds or the applicable laws/regulations. The rights and obligations of the new shares converted from the bonds are the same as the issued and outstanding common shares.
- (c) The conversion price of the bonds is determined in accordance with the pricing model as specified in the terms of the bonds, and is subject to adjustments in accordance with the anti-dilution provisions if relevant conditions occur subsequently. In addition, on each reset date as specified in the terms of the bonds, the conversion price shall be recalculated based on the pricing model. If the recalculated conversion price is higher than the conversion price before the reset, no adjustment shall be made.
- (d) The bondholders have the right to require the Company to redeem any bonds at a price equal to the face value of the bonds upon three years from the issue date.
- (e) The Company may repurchase all the bonds outstanding in cash at the bonds' face value at any time after the following events occur: (i) the closing price of the Company common shares is above the then conversion price by 30% for 30 consecutive trading days during the period from the date after one month of the bonds issue to 40 days before the maturity date, or (ii) the outstanding balance of the bonds is less than 10% of total initial issue amount during the period from the date after three months of the bonds issue to 40 days before the maturity date.
- (f) Under the terms of the bonds, all bonds redeemed (including bonds repurchased from the Taipei Exchange), matured and converted are retired and not to be re-issued; all rights and obligations attached to the bonds are also extinguished.

B. Regarding the issuance of convertible bonds, the equity conversion options amounting to \$66,922 were separated from the liability component and were recognised in ‘capital surplus—share options’ in accordance with IAS 32. The call options and put options embedded in bonds payable were separated from their host contracts and were recognised in ‘financial assets or liabilities at fair value through profit or loss’ in net amount in accordance with IFRS 9 because the economic characteristics and risks of the embedded derivatives were not closely related to those of the host contracts. The effective interest rates of the bonds payable after such separation ranged between 1.81% ~ 1.82%.

C. As of December 31, 2025, no conversion of the bonds into common shares has occurred, as the conversion period has not yet commenced.

2024: None.

(14) Long-term borrowings

On December 31, 2025: None.

		Borrowing period			
<u>Type of borrowings</u>	<u>and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2025</u>	
Installment-repayment borrowings					
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$	200,000
Less: Current portion				(	50,000)
				\$	150,000

(15) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

- (b) The amounts recognized in the balance sheet are as follows:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Present value of defined benefit obligations	(\$ 4,877)	(\$ 4,772)
Fair value of plan assets	<u>18,474</u>	<u>16,971</u>
Net defined benefit asset	<u>\$ 13,597</u>	<u>\$ 12,199</u>

(c) Movements in net defined benefit assets are as follows:

	2025		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	(\$ 4,772)	\$ 16,971	\$ 12,199
Interest (expense) income	(72)	255	183
	(4,844)	17,226	12,382
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	1,248	1,248
Change in financial assumptions	(41)	-	(41)
Experience adjustments	8	-	8
	(33)	1,248	1,215
At December 31	(\$ 4,877)	\$ 18,474	\$ 13,597
	2024		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	(\$ 6,158)	\$ 16,364	\$ 10,206
Interest (expense) income	(69)	184	115
	(6,227)	16,548	10,321
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	1,473	1,473
Change in financial assumptions	133	-	133
Experience adjustments	272	-	272
	405	1,473	1,878
Pension fund contribution	1,050	(1,050)	-
At December 31	(\$ 4,772)	\$ 16,971	\$ 12,199

- (d) The Bank of Taiwan was commissioned to manage the Fund of the Company's defined benefit pension plan in accordance with the Fund's annual investment and utilization plan and the "Regulations for Revenues, Expenditures, Safeguard and Utilization of the Labor Retirement Fund" (Article 6: The scope of utilization for the Fund includes deposit in domestic or foreign financial institutions, investment in domestic or foreign listed, over-the-counter, or private placement equity securities, investment in domestic or foreign real estate securitization products, etc.). With regard to the utilization of the Fund, its minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with the interest rates offered by local banks. If the earnings is less than aforementioned rates, government shall make payment for the deficit after being authorized by the Regulator. The Company has no right to participate in managing and operating that fund and hence the Company is unable to disclose the classification of plan assets fair value in accordance with IAS 19 paragraph 142. The composition of fair value of plan assets as of December 31, 2025 and 2024 is given in the Annual Labor Retirement Fund Utilization Report announced by the government.
- (e) The principal actuarial assumptions used were as follows:

	Years ended December 31,			
	2025		2024	
Discount rate	1.375%		1.500%	
Future salary increases	3%		3%	
i. Future mortality rate was estimated based on the 6th Taiwan Standard Ordinary Experience Mortality Table.				
ii. Because the main actuarial assumption changed, the present value of defined benefit obligation is affected. The analysis was as follows:				
	Discount rate		Future salary increases	
	Increase 0.25%	Decrease 0.25%	Increase 0.25%	Decrease 0.25%
December 31, 2025				
Effect on present value of defined benefit obligation	(\$ 81)	\$ 83	\$ 80	(\$ 78)
December 31, 2024				
Effect on present value of defined benefit obligation	(\$ 86)	\$ 88	\$ 85	(\$ 84)

- iii. The sensitivity analysis above is based on one assumption which changed while the other conditions remain unchanged. In practice, more than one assumption may change all at once. The method of analysing sensitivity and the method of calculating net pension liability in the balance sheet are the same.
- iv. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous period.
- (f) The Company has acquired the approval from the Hsinchu County Government to suspend its contribution to the defined benefit pension plan for 2025 and 2024.
- (g) As of December 31, 2025 and 2024, the weighted average duration of the retirement plan is 6.7 and 7.3 years, respectively.
- (h) The company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognized pension costs of \$93 and \$85 for the years ended December 31, 2025 and 2024, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company has established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company contributes monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The pension costs under the defined contribution pension plan of the Company for the years ended December 31, 2025 and 2024 were \$15,064 and \$14,423, respectively.

(16) Share-based payment

2025

A. The Company’s share-based payment arrangements were as follows:

<u>Type of arrangement</u>	<u>Grant date</u>	<u>Quantity granted</u>	<u>Contract period</u>	<u>Vesting conditions</u>
Cash capital increase reserved for employee preemption	2025.12.10	3,150 thousand shares	NA	Vested immediately

Among the share-based payment arrangements above are settled by equity.

B. Details of the share-based payment arrangements are as follows:

	<u>2025</u>	
	No. of options (in thousands)	Weighted- average exercise price (in dollars)
Options outstanding at January 1	-	\$ -
Options granted	<u>3,150</u>	35
Options outstanding at December 31	<u>3,150</u>	35
Options exercisable at December 31	<u>3,150</u>	35

C. The fair value of stock options granted on grant date is measured using the Black-Scholes option-pricing model. Relevant information is as follows:

Type of arrangement	Grant date	Stock price	Exercise price	Expected price volatility	Expected option life	Expected dividends	Risk- free interest rate	Fair value per unit
Employee stock options	2025.12.10	46.5	35	65.81%	29 days	-	1.20%	11.73

Note: Expected price volatility rate was estimated by using the stock prices of the most recent period with length of this period approximate to the length of the stock options' expected life, and the standard deviation of return on the stock during this period.

D. Expenses incurred on share-based payment transactions are shown below:

	<u>Year ended December 31,</u>
	<u>2025</u>
Equity-settled	<u>\$ 36,950</u>
<u>2024</u>	

No such circumstances existed during the year.

(17) Share capital

A. As of December 31, 2025, the Company's authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

	<u>2025</u>	<u>2024</u>
At January 1	88,263	89,263
Treasury shares buyback	-	(1,000)
At December 31	<u>88,263</u>	<u>88,263</u>

- B. On March 25, 2025, the shareholders' meeting resolved not to proceed with the previously approved private placement of up to 15,000 thousand common shares or domestic convertible corporate bonds, as resolved in the shareholders' meeting on May 24, 2024. As of March 25, 2025, no private placement of common shares or domestic convertible corporate bonds had been executed under this fundraising plan.
- C. The Company's Board of Directors resolved on August 13, 2025, to issue 21,000 thousand ordinary shares with a par value of NT\$10 per share through a cash capital increase. The capital increase record date was January 13, 2026, and the shares were issued at a subscription price of NT\$35 per share, resulting in total proceeds of NT\$735,000. The registration was approved by the competent authority on February 3, 2026. As of December 31, 2025, proceeds of NT\$53,713 had been received in advance.
- D. Treasury shares
- (a) The Company's Board of Directors approved a share buyback program on December 22, 2024 to repurchase 1,000 thousand shares during the period from December 25, 2024 to February 23, 2025. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		<u>December 31, 2025</u>	
<u>Name of company</u>		<u>Number of shares</u>	
<u>holding the shares</u>	<u>Reason for reacquisition</u>	<u>(In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

		<u>December 31, 2024</u>	
<u>Name of company</u>		<u>Number of shares</u>	
<u>holding the shares</u>	<u>Reason for reacquisition</u>	<u>(In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

- (b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.
- (c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.
- (d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(18) Capital surplus

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Share premium	\$ 1,461,724	\$ 1,505,856
From business combinations	31,797	31,797
Treasury shares transactions	76,571	76,571
Changes in ownership interests in subsidiaries	-	7,906
Employee stock options	36,950	-
Share options	<u>66,922</u>	<u>-</u>
	<u>\$ 1,673,964</u>	<u>\$ 1,622,130</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. On April 9, 2024, the Company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).
- C. On March 25, 2025, the Company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(19) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.

C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special Reserve

- (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
- (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1090150022, dated March 31, 2021, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings (losses)

- (a) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	\$ 0.50

- (b) The appropriations of 2024 losses had been resolved at the annual shareholders' meeting on May 15, 2025. Details are summarized below:

	2024	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 9,727)	
Reversal of special reserve	(89,208)	

(c) The appropriation of 2025 losses was proposed by the Board of Directors on March 12, 2026. Details are summarized below.

	2025	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 142,048)	
Appropriation of capital surplus to offset losses	(60,014)	

The aforementioned proposal for the appropriation of 2025 losses had not yet been resolved at the shareholders' meeting as of March 12, 2026.

(20) Other equity items

	2025	2024
At January 1	(\$ 280,708)	(\$ 369,916)
Currency translation differences:		
–Group	(74,540)	89,208
At December 31	(\$ 355,248)	(\$ 280,708)

(21) Operating revenue

A. Disaggregation of revenue from contracts with customers

The Company derives revenue from the transfer of goods at a point in time in the following major product lines:

	Years ended December 31,	
	2025	2024
Revenue from contracts with customers		
Metal furniture	\$ 916,591	\$ 873,040
Medical device	239,656	156,629
Optoelectronic component	196,112	56,718
Others	5,294	-
	<u>\$ 1,357,653</u>	<u>\$ 1,086,387</u>

B. Contract liabilities

(a) The Company has recognized the following revenue-related contract liabilities:

	December 31, 2025	December 31, 2024	January 1, 2024
Contract liabilities:	<u>\$ 1,376</u>	<u>\$ 1,757</u>	<u>\$ 3,874</u>

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

		Years ended December 31,	
		2025	2024
Revenue recognized	\$	-	\$ 442

(22) Interest income

		Years ended December 31,	
		2025	2024
Interest income from bank deposits	\$	3,763	\$ 7,321
Other interest income		206	577
	\$	3,969	\$ 7,898

(23) Other income

		Years ended December 31,	
		2025	2024
Royalty income	\$	24,725	\$ 32,160
Solar revenue		1,842	1,958
Rental income		1,196	1,196
Dividend revenue		-	1,174
Subsidy income		1,728	-
Other income		789	1,010
	\$	30,280	\$ 37,498

(24) Other gains and losses

		Years ended December 31,	
		2025	2024
Gain on disposal of property, plant and equipment	\$	500	\$ 20
Foreign exchange (loss) gains	(	6,422)	16,985
Gain (loss) on financial assets and liabilities at fair value through profit or loss		12,063	(17,513)
Impairment loss of property, plant, and equipment		-	(2,263)
Impairment loss of investments accounted for under equity method		-	(14,916)
Miscellaneous disbursements	(	3,207)	(3,400)
	\$	2,934	(\$ 21,087)

(25) Finance costs

	Years ended December 31,	
	2025	2024
Interest expense from bank borrowings	\$ 5,307	\$ 5,375
Interest expense from lease liabilities	479	704
Other finance cost	504	-
	<u>\$ 6,290</u>	<u>\$ 6,079</u>

(26) Expenses by nature

	2025		
	Operating costs	Operating expenses	Total
Employee benefit expense			
Wages and salaries	\$ 124,653	\$ 218,316	\$ 342,969
Labour and health insurance fees	13,967	16,814	30,781
Pension costs	5,547	9,427	14,974
Board compensation	-	141	141
Other personnel expenses	<u>7,506</u>	<u>11,043</u>	<u>18,549</u>
	<u>\$ 151,673</u>	<u>\$ 255,741</u>	<u>\$ 407,414</u>
Depreciation charges on property, plant and equipment	33,956	12,795	46,751
Depreciation charges on right-of-use assets	9,710	6,396	16,106
Depreciation charges on investment property	-	131	131
Amortization charges	720	16,637	17,357
	2024		
	Operating costs	Operating expenses	Total
Employee benefit expense			
Wages and salaries	\$ 115,651	\$ 182,381	\$ 298,032
Labour and health insurance fees	12,524	16,636	29,160
Pension costs	5,085	9,308	14,393
Board compensation	-	159	159
Other personnel expenses	<u>6,672</u>	<u>10,515</u>	<u>17,187</u>
	<u>\$ 139,932</u>	<u>\$ 218,999</u>	<u>\$ 358,931</u>
Depreciation charges on property, plant and equipment	33,092	11,460	44,552
Depreciation charges on right-of-use assets	9,529	6,035	15,564
Depreciation charges on investment property	-	130	130
Amortization charges	969	15,165	16,134

- A. As of December 31, 2025 and 2024, the Company had 378 and 377 employees, average. There were both 6 directors who have not served as employees.
- B. (a) Average employee benefit expense in 2025 and 2024 were \$1,095 and \$967, respectively.
(b) Average employee salaries in 2025 and 2024 were \$922 and \$803, respectively. The change in the average employee salaries and wages adjustment was an increase of 14.82%.
- C. The Company has no supervisors' remuneration as it has set up an audit committee.
- D. The Company's compensation policy for directors, managers and employees is described as follows:

Director

The remuneration of directors shall be determined by the board of directors at the usual level of the trade, taking into account their participation in the operations of the Company and the value of their contributions.

Directors' remuneration: when the Company makes profits, it shall be paid to the director in accordance with the Company's Articles of Incorporation (not more than 3%).

Directors' attendance fee: payable to a director for the number of times he or she personally attends board meetings, compensation committees, audit committees and other functional committees.

Manager

The remuneration of the Company's managers shall be assessed by the remuneration committee and submitted to the board of directors for resolution based on their positions, contributions and the Company's business performance in that year.

Employee

To maintain overall pay competitiveness, the Company conducts annual pay surveys to measure the pay level in the market and take into account the Company's operational performance and future development. Implement the performance-oriented policy and give differentiated rewards according to individual performance to reward the contributions of colleagues.

(27) Employee benefit expense

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. (a) For the year ended December 31, 2025 and 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.

(b) Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(28) Income tax

A. Components of income tax benefit

	Years ended December 31,	
	2025	2024
Current tax:		
Current tax for the period	\$ 14,276	\$ 29,308
Deferred tax:		
Origination and reversal of temporary differences	(35,403)	(30,715)
Income tax benefit	(\$ 21,127)	(\$ 1,407)

B. Reconciliation between income tax benefit and accounting profit

	Years ended December 31,	
	2025	2024
Tax calculated based on profit before tax and statutory tax rate	(\$ 43,691)	(\$ 20,486)
Expenses disallowed by tax regulation	1,239	6,773
Taxable loss not recognized as deferred tax assets	42,452	13,713
Change in assessment of realization of deferred tax assets	(35,403)	(30,715)
Withholding tax on overseas royalties	2,472	3,216
Subsidiaries' repatriation of earnings withholding tax	11,804	26,092
Income tax benefit	(\$ 21,127)	(\$ 1,407)

C. Amounts of deferred tax assets or liabilities as a result of temporary differences and tax losses are as follows:

	2025		
	January 1	Recognized in profit or loss	December 31
Deferred tax assets:			
— Temporary differences:			
Loss on inventory	\$ 4,747	\$ 3,645	\$ 8,392
Unrealized impairment loss	3,698	(203)	3,495
Unrealized gain from disposal of property, plant and equipment	1,683	13	1,696
Others	<u>1,903</u>	<u>(575)</u>	<u>1,328</u>
	<u>12,031</u>	<u>2,880</u>	<u>14,911</u>
— Deferred tax liabilities:			
Gain on foreign investment accounted for under the equity method	(172,088)	32,461	(139,627)
Others	<u>(271)</u>	<u>62</u>	<u>(209)</u>
	<u>(172,359)</u>	<u>32,523</u>	<u>(139,836)</u>
	<u>(\$ 160,328)</u>	<u>\$ 35,403</u>	<u>(\$ 124,925)</u>
	2024		
	January 1	Recognized in profit or loss	December 31
Deferred tax assets:			
— Temporary differences:			
Loss on inventory	\$ 4,738	\$ 9	\$ 4,747
Unrealized impairment loss	1,523	2,175	3,698
Unrealized gain from disposal of property, plant and equipment	2,133	(450)	1,683
Unrealized exchange loss	996	(996)	-
Others	<u>723</u>	<u>1,180</u>	<u>1,903</u>
	<u>10,113</u>	<u>1,918</u>	<u>12,031</u>
Deferred tax liabilities:			
Gain on foreign investment accounted for under the equity method	(200,397)	28,309	(172,088)
Others	<u>(759)</u>	<u>488</u>	<u>(271)</u>
	<u>(201,156)</u>	<u>28,797</u>	<u>(172,359)</u>
	<u>(\$ 191,043)</u>	<u>\$ 30,715</u>	<u>(\$ 160,328)</u>

- D. Expiration dates of unused tax losses and amounts of unrecognized deferred tax assets are as follows:

December 31, 2025				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognized deferred tax assets	Expiry year
2019	\$ 126,460	\$ 66,862	\$ 66,862	2029
2025	\$ 28,904	\$ 28,904	\$ 28,904	2035

December 31, 2024				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognized deferred tax assets	Expiry year
2019	\$ 126,460	\$ 85,365	\$ 85,365	2029

- E. The Company's income tax returns through 2023 have been assessed and approved by the Tax Authority.

(29) Loss per share

Year ended December 31, 2025			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 197,326)	88,263	(\$ 2.24)
Year ended December 31, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 101,021)	88,307	(\$ 1.14)

Note: For the year 2025, the Company's convertible bonds and employee stock options were anti-dilutive; therefore, they were not included in the calculation of diluted earnings per share as they had no dilutive effect on common shares.

(30) Supplemental cash flow information

Investing activities with partial cash payments:

	Year ended December 31,	
	2025	2024
Purchase of property, plant and equipment	\$ 18,898	\$ 94,673
Add: Opening balance of payable on equipment	4,328	1,549
Opening balance of payable on construction	436	627
Less: Ending balance of payable on equipment	(2,136)	(4,328)
Ending balance of payable on construction	(420)	(436)
Cash paid during the year	<u>\$ 21,106</u>	<u>\$ 92,085</u>

(31) Changes in liabilities from financing activities

	2025					
	Short-term borrowings	Bonds payable	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 45,000	\$ -	\$ 200,000	\$ 31,488	\$ 800	\$277,288
Changes in cash flow from financing activities	(45,000)	447,042	(200,000)	(16,648)	-	185,394
Changes in other non-cash items	-	(68,255)	-	1,985	-	(66,270)
At December 31	<u>\$ -</u>	<u>\$378,787</u>	<u>\$ -</u>	<u>\$ 16,825</u>	<u>\$ 800</u>	<u>\$396,412</u>

	2024					
	Short-term	Long-term	Lease	Guarantee		
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	<u>received</u>	<u>Total</u>
At January 1	\$ 45,000	\$ 250,000	\$ 32,504	\$ 800	\$ 328,304	
Changes in cash flow from financing activities	-	(50,000)	(16,075)	-	(66,075)	
Changes in other non-cash items	-	-	15,059	-	15,059	
At December 31	\$ 45,000	\$ 200,000	\$ 31,488	\$ 800	\$ 277,288	

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
Shin Zu Shing Co., Ltd.	Other related party
Suzhou Jochu Precision Metal Co., Ltd (SUZHOU JOCHU)	Subsidiary
Jochu Technology (Xiamen) Ltd. (XIAMEN JOCHU)	Subsidiary
LEGIUN Technology Co., Ltd (LEGIUN)	Subsidiary
JOCHU TECHNOLOGY (VIETNAM) CO., LTD. (JOCHU VIETNAM)	Subsidiary
eBio Technology Inc.	Subsidiary
eBio International Inc.	Subsidiary

(2) Significant related party transactions

A. Operating revenue:

	<u>Year ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Sales of goods:		
Subsidiaries	\$ <u>7</u>	\$ <u>934</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Purchases

	<u>Year ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Subsidiaries	\$ <u>182,876</u>	\$ <u>21,290</u>

The terms of purchases between the Company and related parties are not materially different from those for non-related parties, and purchases from related parties are subject to the Company's transfer pricing policy.

C. Property transactions – Acquisition of financial assets

The Company participated in the cash increase of eBio International Co., Ltd. Please refer to Note 6(6) in the 2025 consolidated financial statements for further details.

D. Lease transactions-lessor

Rental income

	<u>Year ended December 31,</u>	
	<u>2025</u>	<u>2024</u>
Subsidiaries	\$ <u>1,196</u>	\$ <u>1,196</u>

The rental income from the plant and office in Neihu, Taipei leased to the subsidiary is included in other income.

E. Lease transactions-lessee

- (a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023 to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.
- (b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The right-of-use assets increased by \$14,356. Increased to book value \$43,980. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,401.
- (c) On January 1, 2025, the Company adjusted the monthly lease payments under the original lease agreement based on the consumer price index. The newly recognized right-of-use asset amounted to \$557, resulting in a total carrying amount of \$29,877.

(d) Right-of-use assets

A. Carrying amount

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>14,938</u>	\$ <u>29,320</u>

B. Depreciation charge

	<u>Year ended December 31, 2025</u>	<u>Year ended December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>14,939</u>	\$ <u>14,232</u>

(e) Lease liabilities

A. Carrying amount

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>15,286</u>	\$ <u>29,725</u>

B. Interest expense

	<u>Year ended December 31, 2025</u>	<u>Year ended December 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>450</u>	\$ <u>676</u>

(f) Administrative expenses and disbursement fee

	Year ended December 31, 2025	Year ended December 31, 2024
Shin Zu Shing Co., Ltd.	\$ 3,931	\$ 3,115

F. Royalty income

	December 31, 2025	December 31, 2024
Subsidiaries	\$ 24,725	\$ 32,160

Royalty income derived from the Company's provision of technical service licensing to its subsidiaries is recognized under other income.

G. Receivable from related parties

	December 31, 2025	December 31, 2024
Accounts receivable: Subsidiaries		
Subsidiaries	\$ 1,367	\$ 289

H. Payables to related parties

	December 31, 2025	December 31, 2024
Accounts Payable:		
Subsidiaries	\$ 159,071	\$ 8,027
Other payables:		
Other related parties	\$ 351	\$ 217
Subsidiaries	493	-
	\$ 844	\$ 217

(a) In order to meet the needs of customers, the Company accepts orders from customers on behalf of the related companies, and then the related companies directly deliver the goods to customers after manufacturing, and bear the inventory risk and provide after-sales service.

(b) The other payables to other related parties pertains to accrued utilities expense.

I. Loans to related parties:

A. Ending balance

	December 31, 2025	December 31, 2024
eBio International Inc.	\$ -	\$ 30,081

B. Interest revenues

	Year ended December 31, 2025	Year ended December 31, 2024
eBio Technology Inc.	\$ -	\$ 441
eBio International Inc.	98	81
	\$ 98	\$ 522

The loans to the subsidiary are repayable in full after one year and carry interest at 2.59% per annum for the years ended December 31, 2025, and 2024, respectively.

(3) Key management compensation

	Year ended December 31,	
	2025	2024
Short-term employee benefits	\$ 20,506	\$ 19,900
Post-employment benefits	883	570
	<u>\$ 21,389</u>	<u>\$ 20,470</u>

8. Pledged Assets

The Company's assets pledged as collateral are as follows:

	Book value		
	December 31,	December 31,	
<u>Pledged asset</u>	<u>2025</u>	<u>2024</u>	<u>Purpose</u>
Property, plant, and equipment			
Land	\$ 273,059	\$ 273,059	Bank secured borrowings
Buildings and structures	127,527	136,646	Bank secured borrowings
Other non-current assets			
Guarantee deposits paid	5,191	4,124	Rental deposit

9. Significant Contingent Liabilities and Unrecognized Contract Commitments

A. Contingency

None.

B. Commitments

As of December 31, 2025, the Group had opened unused letters of credit for importing inventories and equipment of \$1,437.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

- A. Please refer to Note 6(8) G. 、Note 6(17) C. and Note 6(19) E. for further details.
- B. On March 12, 2026, the Company's board of directors resolved a cash distribution of \$65,558 from the capital surplus (\$0.6 per share)
- C. On March 12, 2026, the Company's board of directors resolved to approve a proposal for a private placement of up to 50,000 thousand common shares or domestic convertible bonds.

12. Other

(1) Capital management

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the Company consists of net debt (borrowings offset by cash and cash equivalents) and equity attributable to owners of the Company (comprising issued capital, reserves, retained earnings and other equity). The Company is not subject to any externally imposed capital requirements.

(2) Financial instruments

A. Financial instruments by category

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Financial assets</u>		
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 43,493	\$ 30,477
Financial assets at fair value through other comprehensive income	5,500	5,500
Financial assets at amortized cost		
Cash and cash equivalents	497,109	413,719
Accounts receivable, net	283,269	151,159
Accounts receivable-related parties	1,367	289
Other receivables	1,877	3,620
Other receivables-related parties	-	30,081
Guarantee deposits paid	<u>5,191</u>	<u>4,124</u>
	<u>\$ 837,806</u>	<u>\$ 669,050</u>

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
<u>Financial liabilities</u>		
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 2,425	\$ 2,671
Financial liabilities at amortized cost		
Short-term borrowings	-	45,000
Accounts payable	115,128	141,464
Accounts payable-related parties	159,071	8,027
Other payables	111,361	124,057
Other payables-related parties	844	217
Bonds payable (including current portion)	378,787	-
Long-term borrowings (including current portion)	-	200,000
Guarantee deposits received	800	800
	<u>\$ 768,416</u>	<u>\$ 522,236</u>
Lease liabilities (current and non-current)	<u>\$ 16,825</u>	<u>\$ 31,488</u>

B. Financial risk management policies

- (a) The Company's major financial instruments included equity investments, accounts receivable, accounts payable, and bank borrowings. The Company's Corporate Treasury function provides services to the business, coordinates access to domestic and international financial markets, monitors and manages the financial risks relating to the operations of the Company through internal risk reports which analyze exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.
- (b) The Company sought to minimize the effects of these risks by using derivative financial instruments to hedge risk exposures. The use of financial derivatives was governed by the Company's policies approved by the board of directors, which provided written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits was reviewed by the internal auditors on a continuous basis. The Company did not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Company engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Company manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Company's businesses involve some non-functional currency operations (the Company's functional currency: NTD). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

December 31, 2025			
(Foreign currency: functional currency)	Foreign currency		Book value
	amount		
	<u>(In thousands)</u>	<u>Exchange rate</u>	<u>(NTD)</u>
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 11,211	31.4300	\$ 352,362
 <u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	436	31.4300	13,703

	December 31, 2024			
(Foreign currency: functional currency)	Foreign currency		Book value	
	amount			
	<u>(In thousands)</u>	<u>Exchange rate</u>		<u>(NTD)</u>
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	\$	6,758	32.7850	\$ 221,561
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD		489	32.7850	16,032

Above information excludes unrealized profit or loss from transactions with subsidiaries.

- iii. Total exchange gains (losses), including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Company for the years ended December 31, 2025 and 2024, amounted to (\$6,422) and \$16,985, respectively.
- iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Year ended December 31, 2025				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 3,524	\$	-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	137	\$	

Year ended December 31, 2024				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,216	\$	-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	160	\$	-

Cash flow and fair value interest rate risk

- i. The Company's main interest rate risk arises from long-term borrowings with variable rates, which expose the Company to cash flow interest rate risk. During 2025 and 2024, the Company's borrowings at variable rate were mainly denominated in New Taiwan dollars.
 - ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the years ended December 31, 2025 and 2024 would have increased/decreased by \$0 and \$1,600, respectively. The main factor is that changes in interest expense result from floating rate borrowings.
- (b) Credit risk
- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. As at the end of the reporting period, the Company's maximum exposure to credit risk which will cause a financial loss to the Company due to default by the counterparties and financial guarantees provided by the Company arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Company.

- ii. In order to mitigate the credit risk, the Company will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Company will use other publicly available financial information and mutual transaction records to rate key customers. The Company will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Company reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Company's management believes that the Company's credit risk has been significantly reduced.
- iii. The Company adopts following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Company cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Company considers that the counterparty has signs of default.
- v. The Company wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Company will continue executing the recourse procedures to secure their rights.
- vi. The Company applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Company's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Company used the forecast ability to adjust historical and timely information to assess the default possibility of accounts receivable. On December 31, 2025 and 2024, the provision matrix is as follows:

<u>December 31, 2025</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%-0.05%	\$ 285,021	\$ 3,399
Up to 90 days	0%-0.05%	1,647	-
Over 91 days	100%	-	-
		<u>\$ 286,668</u>	<u>\$ 3,399</u>

<u>December 31, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%-0.05%	\$ 144,587	\$ -
Up to 90 days	0%-0.05%	6,572	-
Over 91 days	100%	<u>735</u>	<u>735</u>
		<u>\$ 151,894</u>	<u>\$ 735</u>

viii. Movements in relation to the Company applying the modified approach to provide loss allowance for accounts receivable are as follows:

	<u>2025</u>	<u>2024</u>
At January 1	\$ 735	\$ 550
Provision for impairment	<u>2,664</u>	<u>185</u>
At December 31	<u>\$ 3,399</u>	<u>\$ 735</u>

(c) Liquidity risk

i. Cash flow forecasting is performed in the operating entities of the Company and aggregated by the Company's Corporate Treasury function. The Company's Corporate Treasury function monitors rolling forecasts of the Company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Company does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Company's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.

ii. The Company has the following undrawn borrowing facilities:

	<u>December 31, 2025</u>	<u>December 31, 2024</u>
Floating rate:		
Expiring within one year	\$ 897,927	\$ 1,306,786
Expiring beyond one year	50,000	-

iii. The table below analyses the Company's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than	Between	Between	Over
	1 year	1 and	2 and	Over
<u>December 31, 2025</u>	<u>1 year</u>	<u>2 years</u>	<u>5 years</u>	<u>5 years</u>
<u>Non-derivative financial liabilities</u>				
Accounts payable	\$ 115,128	\$ -	\$ -	\$ -
Accounts payable-related parties	159,071	-	-	-
Other payables	111,361	-	-	-
Other payables-related parties	844	-	-	-
Lease liabilities	16,625	326	54	-
Bonds payable	-	-	400,000	-
Guarantee deposits received	800	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 2,425	-	-	-
	Less than	Between	Between	Over
	1 year	1 and	2 and	Over
<u>December 31, 2024</u>	<u>1 year</u>	<u>2 years</u>	<u>5 years</u>	<u>5 years</u>
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,036	\$ -	\$ -	\$ -
Accounts payable	141,464	-	-	-
Accounts payable-related parties	8,027	-	-	-
Other payables	124,057	-	-	-
Other payables-related parties	217	-	-	-
Lease liabilities	16,075	15,997	-	-
Long-term borrowings	53,940	53,940	107,858	-
(including current portion)				-
Guarantee deposits received	800	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 2,671	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Company has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Company's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Company's investment in equity investment without active market is included in Level 3.

B. Information relating to investments accounted for under equity method and investment property is provided in Note 6(6) and Note 6(9).

C. Financial Instruments Measured at Amortized Cost.

(a) Except for those listed in the table below, the carrying amounts of cash and cash equivalents, accounts receivable, net (including related parties), other receivables (including related parties), guarantee deposits paid, short-term borrowings, accounts payable (including related parties), and other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

December 31, 2025				
<u>Financial liabilities</u>	<u>Book value</u>	<u>Fair Value</u>		
		<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>
Bonds payable	\$ 378,787	\$ -	\$ 381,360	\$ -
<u>2024</u>				
<u>None.</u>				

(b) The methods and assumptions of fair value estimate are as follows:

Bonds payable: They are measured at present value, which is calculated based on the cash flow expected to be paid and discounted using a market rate prevailing at balance sheet date.

D. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

<u>December 31, 2025</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Convertible bonds-call / put option	\$ -	\$ 1,080	\$ -	\$ 1,080
Private equity fund	-	-	42,413	42,413
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	5,500	5,500
	<u>\$ -</u>	<u>\$ 1,080</u>	<u>\$ 47,913</u>	<u>\$ 48,993</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 2,425</u>	<u>\$ -</u>	<u>\$ 2,425</u>
<u>December 31, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Private equity fund	\$ -	\$ -	\$ 30,477	\$ 30,477
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	5,500	5,500
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 35,977</u>	<u>\$ 35,977</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 2,671</u>	<u>\$ -</u>	<u>\$ 2,671</u>

- (b) The methods and assumptions the Company used to measure fair value are as follows:
- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
 - ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Company adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
 - iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
 - iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Company's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Company's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- E. For the years ended December 31, 2025 and 2024, there was no transfer between Level 1 and Level 2.
- F. The following chart is the movement of Level 3 for the years ended December 31, 2025 and 2024:

	Equity instrument	
	2025	2024
At January 1	\$ 35,977	\$ 25,103
Recognized in profit or loss	11,936	(3,626)
Acquired during the period	-	14,500
At December 31	<u>\$ 47,913</u>	<u>\$ 35,977</u>

- G. The transfer-out amount from Level 3 was \$0 for the years ended December 31, 2025, and 2024, respectively.
- H. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.
- I. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>December 31, 2025</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 5,500	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Private equity fund	42,413	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>December 31, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 5,500	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Private equity fund	30,477	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- E. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- F. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

14. Segment Information

None.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Year ended December 31, 2025

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No.				Is a	Maximum	Ending Balance	Actual amount	Interest	Nature of loan	Amount of	Reason	Allowance	Collateral		Limit on loans	Ceiling on	
(Note 1)	Creditor	Borrower	General ledger account	party	for the Period	(Note 2)	drawn down	rate	(Note3)	transactions with the borrower	for short-term financing	for doubtful accounts	Item	Value	(Note 1)	(Note 1)	Footnote
0	The Company	eBio Technology	Other receivables - related parties	Yes	\$ 40,000	\$ -	\$ -	-	2	\$ -	-	\$ -	Promissory Note	\$ 40,000	\$ 492,027	\$ 984,054	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

Note 3: Nature of Loan

(1) For operational or transaction purposes.

(2) For short-term financial needs.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided
Year ended December 31, 2025

Table 2

Expressed in thousands of NTD
(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
0	The Company	eBio Technology	Note 1	\$ 1,230,068	\$ 20,000	\$ -	\$ -	None	0.00%	\$ 2,460,136	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.

For other cases, it shall not exceed 10% of the net worth.

(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
December 31, 2025

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of December 31, 2023				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 42,413	3%	\$ 42,413	

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Year ended December 31, 2025

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2025			Net profit (loss) of the investee for the years ended December 31, 2025	Investment income (loss) recognised by the Company for the years ended December 31, 2025	Footnote
				Balance as at December 31,2025	Balance as at December 31, 2024	Number of shares	Ownership				
							(%)	Book value			
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,262,805	\$ 1,149,099	40,465	100%	\$ 1,699,109	(\$ 50,606)	(\$ 50,380)	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	22,560	(8,803)	(9,094)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	113,102	71,114	17,994	75.49%	46,044	(4,774)	(4,878)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	390,804	17,009	17,009	
JOCHU BVI	PIH	Singapore	Investment holding	609,961	496,256	20,248	65%	407,637	(148,266)	(96,373)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	390,804	17,009	17,009	
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	933,313	758,383	Not applicable	100%	626,007	(147,749)	(147,749)	
eBIO INTERNATIONAL CO., LTD.	eBIO TECHNOLOGY INC.	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	113,071	101,071	18,027	100%	6,787	(4,542)	(4,542)	

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Years ended December 31, 2025

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2025		Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2025	Net income of investee for the year ended December 31, 2025	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended Decembe 31, 2025 (Note 2)	Book value of investments in Mainland China as of December 31, 2025	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2025	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)1	\$ 367,541	\$ -	\$ -	\$ 367,541	\$ 29,058	100%	\$ 29,058	\$ 899,595	\$ 1,907,779	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)2	328,912	-	-	328,912	25,512	100%	25,512	586,167	692,751	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of December 31, 2025	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453 (USD21,500)	\$ 862,275 (USD28,801)	\$ 1,610,841

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

- (1) Directly invest in a company in Mainland China.
- (2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 - A. Invested through Jochu Investment Ltd.
 - B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
- (3) Others

Note 2: In the 'Investment income (loss) recognised by the Company for the year ended December 31, 2024' column:

- (1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
- (2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 - A. The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 - B. The financial statements were audited by R.O.C. parent company's CPA.
 - C. Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF CASH AND CASH EQUIVALENTS
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 1

<u>Item</u>	<u>Description</u>	<u>Amount</u>
Cash on hand and petty cash		\$ 150
Checking accounts and demand deposits		
- New Taiwan Dollar		198,457
- Foreign currency	USD 1,903,779.70 rate 31.43	59,836
	EUR 44,488.86 rate 36.9	1,642
	RMB 4,985.17 rate 4.496	22
Time deposits		
- New Taiwan Dollar		193,000
- Foreign currency	USD 1,400,000 rate 31.43	<u>44,002</u>
		<u>\$ 497,109</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF ACCOUNTS RECEIVABLE
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 2

<u>Client Name</u>	<u>Amount</u>	<u>Note</u>
Client:		
Company A	\$ 61,356	
Company B	58,947	
Company C	43,852	
Company D	34,338	
Company E	26,064	
Company F	19,665	
Others	<u>42,446</u>	Each individual customer balance did not exceed 5% of the account balance
	286,668	
Less: Allowance for bad debts	<u>(3,399)</u>	
	<u>\$ 283,269</u>	
Related parties:		
Jochu Technology (Vietnam) Co., Ltd.	\$ 1,366	
LEGIUN Technology Co., Ltd	<u>1</u>	
	<u>\$ 1,367</u>	

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF INVENTORIES
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 3

<u>Item</u>	<u>Amount Cost</u>	<u>Net Realizable Value</u>	<u>Note</u>
Raw materials	\$ 32,179	\$ 20,083	
Work in process	3,653	5,855	
Semi-finished goods	78,473	100,603	
Finished goods	<u>32,760</u>	<u>34,445</u>	
	147,065	160,986	
Less: Allowance for inventory valuation loss	(<u>41,966</u>)	-	
	<u>\$ 105,099</u>	<u>\$ 160,986</u>	

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF INVESTMENTS ACCOUNTED FOR UNDER THE EQUITY METHOD
FOR THE YEAR ENDED DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 4

Name	Beginning Balance		Addition		Decrease		Increase In Amount Under the Equity Method	Impairment Loss	Realized (Unrealized) Gain or Loss on Transactions With Subsidiaries	Exchange Differences on Translation of Foreign Operations	Ending Balance			Net Asset Value	Valuation technique	Collateral OR Pledge
	Shares	Amount	Shares	Amount	Shares	Amount					Shares	Percentage of Ownership	Amount			
JOCHU INVESTMENT LTD.	\$ 30,565	\$ 1,828,362	3,900	\$ 113,705	-	\$ (118,038)	\$ (50,606)	-	\$ 226	\$ (74,540)	40,465	100%	\$ 1,699,109	\$ 1,706,734	Equity Method	None
LEGIUN TECHNOLOGY CO., LTD.	8,000	31,654	-	-	-	-	(8,803)	-	(291)	-	8,000	100%	22,560	23,415	"	"
eBIO INTERNATIONAL CO., LTD	6,331	22,791	11,663	28,131	-	-	(4,878)	-	-	-	17,994	75.49%	46,044	6,912	"	"
		<u>\$ 1,882,807</u>		<u>\$ 141,836</u>		<u>\$ (118,038)</u>	<u>\$ (64,287)</u>	<u>\$ -</u>	<u>\$ (65)</u>	<u>\$ (74,540)</u>			<u>\$ 1,767,713</u>			

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF ACCOUNTS PAYABLE
FOR THE YEAR ENDED DECEMBER 31, 2024

Sheet 5

Supplier Name	Amount	Note
Supplier:		
Company G	\$ 46,649	
Company H	9,432	
Company I	5,810	
Others	<u>53,237</u>	Each individual supplier balance did not exceed 5% of the account balance
	<u>\$ 115,128</u>	
Related parties:		
Suzhou Jochu Precision Metal Co., Ltd.	134,846	
Jochu Technology (Xiamen) Ltd.	24,169	
eBio Technology Inc.	43	
Jochu Technology (Vietnam) Co., Ltd.	<u>13</u>	
	<u>\$ 159,071</u>	

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OPERATING REVENUE
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 6

<u>Item</u>	<u>Volume (In thousands)</u>	<u>Amount</u>
Furniture components	8,553	\$ 916,591
Medical supplies	90	239,656
Optoelectronic components	6,687	196,112
Others	2	<u>5,294</u>
		<u>\$ 1,357,653</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OPERATING COSTS
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 7

<u>Item</u>	<u>Amount Total</u>
Raw materials - beginning of year	\$ 33,281
Add: Raw material purchase	585,347
Less: Others (transferred to expense)	(20)
Raw material – end of year	(32,179)
Materials consumed	586,429
Direct labor	71,959
Manufacturing overhead	<u>201,507</u>
Manufacturing costs	859,895
Add: Work in process - beginning of year	63,460
Purchase	168,458
Less: Others (transferred to expense)	(1,834)
Work in process - end of year	(82,126)
Cost of finished goods	1,007,853
Add: Finished goods - beginning of year	48,644
Purchase	187,062
Less: Others (transferred to expense)	(61,274)
Finished goods - end of year	(32,760)
Cost of finished goods sold	1,149,525
Loss on disposal of inventory	1,227
Loss on decline in market value	18,227
Revenue from sale of scraps	(8,438)
Cost of goods sold	<u>\$ 1,160,541</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF MANUFACTURING EXPENSES
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 8

<u>Item</u>	<u>Amount</u>
Salaries and wages	\$ 65,782
Depreciation	43,666
Utilities	16,308
Processing service fee	13,176
Others	<u>62,575</u>
	<u>\$ 201,507</u>

JOCHU TECHNOLOGY CO., LTD.
DETAILS OF OPERATING EXPENSES
DECEMBER 31, 2025
(In thousands of New Taiwan dollars)

Sheet 9

<u>Item</u>	<u>Selling and marketing</u> <u>expenses</u>	<u>Administrative</u> <u>expenses</u>	<u>Development</u> <u>expenses</u>	<u>Expected</u> <u>credit loss</u>	<u>Total</u>
Payroll expenses	\$ 34,315	\$ 151,696	\$ 32,305	\$ -	\$ 218,316
Freight	11,967	50	464	-	12,481
Travelling expense	2,658	5,627	1,482	-	9,767
Professional service fee	1,334	9,865	3,067	-	14,266
Insurance expenses	3,656	12,380	3,301	-	19,337
Entertainment expense	627	1,579	147	-	2,353
Rental expenses	73	2,407	109	-	2,589
Amortization	304	13,374	2,959	-	16,637
Pension	1,837	5,829	1,761	-	9,427
Postage expenses	419	1,963	182	-	2,564
Utilities expense	78	2,140	66	-	2,284
Depreciation	977	16,477	1,868	-	19,322
Others	<u>5,200</u>	<u>34,607</u>	<u>10,292</u>	<u>2,664</u>	<u>52,763</u>
	<u>\$ 63,445</u>	<u>\$ 257,994</u>	<u>\$ 58,003</u>	<u>\$ 2,664</u>	<u>\$ 382,106</u>